(x) MIS Reports: It is easier to monitor and control the business using the real time management reports generated by the computerised information systems.



Student activity

Think: Businesses can benefit by introducing computerised accounting system. But, how would employees feel about this change?

14.4 Limitations of Computerised Accounting System

The main limitations of CAS are being dependent upon the operating environment they work in. Some of them are listed as follows:

(i) Heavy cost of installation: Computer hardware needs replacement and software needs to be updated from time to time with the availability of newer versions.

(ii) Cost of training: To ensure effective and efficient use of computerised system of accounting, newer versions of hardware and software are to be introduced. These require special training and hence, cost is incurred to train the staff personnel.

(iii) Fear of unemployment: On account of the introduction of computerised accounting system, the employees feel insecure that they may lose employment and show less interest in computer related work.

(iv) Disruption of work: When computerised system is introduced, the existing process of accounting and other works are interrupted. This results in certain changes in the working environment.

(v) System failure: The danger of a system crashing due to some failure in hardware can lead to subsequent interruption of work. This is more when no back-up is made.

(vi) Time consuming: When there is system failure, an alternative arrangement needs to be made to avoid loss of work. This consumes some time to bring the regular processes back.

(vii) Unanticipated errors not known: Unlike human beings, computers do not have the capability to judge or detect unanticipated errors in the system.

(viii) Breaches of security: The danger of viruses and hacking into the system from outside creates a strong need for security of the system. Similarly, the person who has created the specific programme can easily defraud by tampering with the original records.

(ix) Health dangers: Extensive use of computers may lead to many health problems such as eye strain, muscular complaints, back ache, etc. resulting in reducing work efficiency as well as increased medical expenditure.



Student activity

Think: "People even without accounting knowledge can work on computerised accounting system" – Do you agree?

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